The Legacy of Parental Cultural Distance on Child Well-Being and Economic Outcomes

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Abstract

Has the coalescence of diverse perspectives in the formation of individuals' mindset shaped their productivity? Research spanning various disciplines underscores the implications of societal diversity for economic prosperity. Yet, the role of the most fundamental determinant of societal diversity – diverse mindset – has remained largely obscured. This study explores the implications of this novel aspect of diversity, exploring the power of diverse mindset in securing individual's prosperity. It advances the hypothesis that a moderate level diversity within oneself is beneficial for prosperity. While a diverse mindset foster creativity, plasticity, and adaptability, it hinders coherence, task execution, and decision making. Leveraging the rich web of ancestries of the modern US population, we provide supporting evidence for the hypothesis, establishing that the fusion of moderate personal ancestral diversity in the formation of the individual's mindset is conducive for the individual's earning capacity, mediated by its contribution to creativity and educational attainment.

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1 Introduction

Migratory patterns that emerged in post-1500 era have heightened cross-cultural interactions, and contributed to the emergence of individuals with remarkably diverse ancestral roots. The coalescence of this rich cultural tapestry within individuals has inevitably fueled the evolution of intricate mindsets, which may have profoundly influenced human capital formation and prosperity.

Research spanning various disciplines underscores the significance of cultural diversity in shaping societal affluence. It highlights a delicate balance between the beneficial effects of diversity on innovation and adaptability, and the potential challenges it poses to social cohesiveness. Yet, while the influence of cultural diversity at the societal level has been extensively studied,[1] the impact of the intriguing intrapersonal dimension of diversity remains largely unexplored. Has the coalescence of diverse ancestral background in the formation of individuals' mindset shaped their productivity? Has a diverse mindset been central for individual's prosperity?

This research advances the hypothesis that moderate level of diverse ancestral origins strikes a balance between the conflicting effects of cultural proximity and distinctiveness in the formation of an individual mindset that is conducive for productivity. While a limited cultural diversity among an individual's ancestors may diminish the individual's creativity, plasticity and adaptability, an extensive ancestral cultural gap could potentially hinders coherence, task execution, and decision making.

The empirical exploration of the proposed hypothesis requires a setup in which individuals are born and reside in the same country, but are originated from different combinations of ancestral origins. While these individuals would be exposed to the same economic forces and political institutions, they would be characterized by different levels of ancestral cultural distance.

The United States provides an exceptionally conducive environment for testing our hypothesis. Firstly, as a market economy, income differentials in the US are expected to mirror variations in productive traits. Secondly, the US population exhibits significant diversity in its ancestral origins, encompassing over a hundred ancestral national homelands. Thirdly, the availability of reliable individual-level data on earned income and self-reported ancestry for millions of US inhabitants enhances the robustness and scale of our analysis.

Thus, our research design leverages the rich web of ancestries of the modern US population to examine empirically our proposed hypothesis. We rely on individual-level data on labor income and self-reported dual ancestry, available for millions of US workers, to explore the

[1] Alesina and Ferrara (2005), Ashraf and Galor (2013), Arbatlı et al. (2020), Ashraf et al. (2021).

association between wage income and ancestral cultural distance. This research design crafts a empirical strategy that is: (a) resilient to concerns of reverse causality, (b) robust in the face of unobserved heterogeneity stemming from ancestral origins, gender, and age, and (c) insulated from selection bias.

In exploring the impact of diverse ancestral backgrounds on individual mindset and productivity, an essential consideration lies in the measurement of cultural distances between ancestral homelands. We introduce a novel metric that quantifies the cultural distance between the dual ancestries reported by individuals. Recognizing that cultural distance is a multifaceted concept evolving over time, we anchor our measure in one of the most enduring and fundamental determinants of cultural divergence: prehistoric migratory distances. These distances reflect the overland routes connecting the geographic centroids of ancestral societies and serve as proxies for the deep-rooted cultural disparities that have crystallized over millennia. Moreover, since modern national populations are typically composed of groups of individuals of different ancestries, the prehistoric migratory distance between a pair of national populations is captured by the weighted average of the pairwise migratory distances between each of its ancestral populations, accounting for the proportional representation of these ancestral populations in these modern nations. The findings suggest that ancestral cultural distance as captured by prehistoric migratory distance is a dominant measure relative to a range of alternative measures of cultural, linguistic, and religious distances in explaining the relationship between ancestral cultural distance and wage income.

The empirical analysis establishes that there exists indeed a hump-shaped relationship between ancestral cultural distance and wage income, which is robust for the inclusion of age, gender as well as primary and secondary ancestries fixed-effects. The wage maximizing level of intrapersonal (i.e., the peak of the hump), measured as the distance between ancestral origins, is about 7,400 km which is roughly the migratory distance between France and India. The impact of ancestral cultural distance on wage income is sizable: in the baseline specification, an increase in ancestral cultural distance from the lowest level in the to its wage maximizing level would increase wage income by nearly USD 6,000 (i.e., a 9.5% increase relative to the mean level of USD 62,365). Furthermore, a decrease in ancestral cultural distance from its wage maximizing level to the highest level in the sample would decrease wage income by roughly USD 14,500 (i.e., a 23% decrease relative to the mean level of wage income).

Consistent with our conceptual framework, the impact of ancestral cultural distance on wage income is mediated through its impact on two dimensions of human capital. First, the analysis suggests that there exists a hump-shaped relationship between ancestral cultural distance and educational attainment, reflecting the beneficial effect of diverse parents on the

creativity of their offspring, as well as the detrimental effect of a clash of parental styles and orientations on the effectiveness of their offspring's human capital formation. Second, there exists a hump-shaped relationship between ancestral cultural distance and the level of originality and flow of ideas associated with an individual's occupation, suggesting that a diverse ancestral background is conducive for creativity, but beyond a certain level it contributes to incoherence.

The analysis further reveals that individuals who are more future-oriented or who hold greater respect for their parents can mitigate the adverse effects of excessive diversity on productivity. This finding aligns with our theoretical predictions regarding the importance of preferences for knowledge accumulation and self-fulfillment during formative years, compared to earning capacity in productive years. Additionally, our analysis highlights the potential for complementarity in creativity and adaptability arising from diverse mindsets. This is evidenced by the positive interaction between an individual's ancestral cultural distance and the average ancestral cultural distance of others in the same local labor market.

2 A Conceptual Framework

Suppose that the level of human capital, and thus productivity, is determined by a continuum of productive skills, $s(i)$, acquired by individuals during their formative years. Suppose further that the feasible range of these productive skills differs across individuals and is dictated by their mindset and openness to novel ideas and approaches. In particular, the feasible range of skills for each individual is increasing in the degree of diversity that is embodied in the individual (i.e., ancestral cultural distance), reflecting the extent of ancestral diversity in the individual's family, $\psi \in [0, 1]$. Greater ancestral cultural distance, ψ, leads to a greater feasible range, $i \in [0, \psi]$, of productive skills, $s(i)$.[2]

The level of human capital, H, that an individual with a level of ancestral cultural distance, ψ, acquires is

$$H(\psi) = \int_0^{\psi} s(i)^{\theta} di; \qquad \theta \in (0, 1). \tag{1}$$

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Symmetric and diminishing returns in the impact of each productive skills, $s(i)$, $i \in [0, \psi]$, on human capital formation, as implied by $\theta \in (0, 1)$, suggest that a uniform and symmetric acquisition of productive skills is desirable for efficient human capital formation.

[2]Our theoretical framework augments the cultural transmission underlay by Bisin and Verdier (2001) to account for diverse parental predispositions.

Suppose that individuals are endowed with 1 unit of time in the formative year that is devoted to the acquisition of productive skills, $s(i)$, from the feasible range $i \in [0, \psi]$. The time constraint that limits the acquisition of productive skills, as faced by an individual with a level of ancestral cultural distance, ψ, is therefore

$$\int_0^{\psi} s(i)di \leq 1. \tag{2}$$

where $s(i)$ is the time devoted to the acquisition of skill i.

Hence, in view of the existence of diminishing return to each productive skills, and the symmetry among them in the formation of human capital, individuals, who aspire to maximize their acquired human capital, allocate an equal share, s, of their time endowment to each of their feasible skills.

The time constraint implies therefore that, $\psi s = 1$, and the amount of each skill i acquired by the individual is

$$s(i) = s = 1/\psi, \quad \forall i. \tag{3}$$

Hence, the time devoted by the individual to the acquisition of each productive skills, and thus the amount of each productive skills that the individual possesses is inversely related to the individual's level of ancestral cultural distance. The greater is the feasible range of productive skills, the lower is the time allocation for the acquisition of each productive skills.

The level of human capital that an individual acquires is therefore

$$H(\psi) = \int_0^{\psi} (1/\psi)^{\theta} di = \psi^{1-\theta}; \qquad \theta \in (0, 1). \tag{4}$$

where $H(\psi)$ is a monotonically increasing and strictly concave function of ψ. Namely, $H'(\psi) > 0$ and $H''(\psi) < 0$.

Although greater ancestral cultural distance increases the spectrum of acquired productive traits, ψ, and thus reduces that amount of each of these acquired skills, diminishing returns to each of these productive traits assures that the level of human capital, H, increases in the degree of diversity. Yet, while the greater range of skills maximizes the stock of human capital, it may not necessarily result in a higher earning capacity in the working period. A wide range of skills may lead to inattention and the lack of coherence, reducing the ability of individuals to fully utilize each of these productive skills and efficiently complete tasks.

Suppose that ancestral cultural distance, ψ, diminishes the attention of individuals to each productive skills and their ability to exploit their entire potential. In particular, suppose that a fraction, ψ, of the aggregate impact of these productive skills on productive human capital is lost due to the lack of coherence and diffused attention, resulting from the possession of a larger range of skills. The effective level of human capital, $H^e(\psi)$, that the individual supplies in the labor market is therefore:[3]

$$H^e(\psi) = (1-\psi)\int_0^{\psi} s(i)^{\theta} di = (1-\psi)\psi^{1-\theta}; \qquad \theta \in (0,1). \tag{5}$$

Accordingly, if w is the return to a unit of human capital, the individual's earning capacity, $I(\psi)$, is therefore

$$I(\psi) = w(1-\psi)\psi^{1-\theta}; \qquad \theta \in (0,1). \tag{6}$$

Since $I(\psi)$ is strictly concave in the degree of diversity, ψ, and since $I'(0) > 0$ and $I'(1) < 0$, as depicted in Figure 1, there exists an intermediate level of diversity, $\psi^* \in (0,1)$, that maximizes the individual level of income. In particular,

$$\psi^* = \arg\max\,[I(\psi)] = (1-\theta)/(2-\theta). \tag{7}$$

ancestral cultural distance that exceeds the income maximizing level, could potentially lead to strategic choices, associated with limiting an excessive acquired range of skills, based on the relative weight that the individual assigns to knowledge acquisition and earning capacity.[4] In contrast, enhancing an inherent level of ancestral cultural distance that is lower than the income maximizing level could be prohibitively costly to augment.

Suppose that individuals values their knowledge accumulation (and self-fulfillment) in their formative years as well as their earning capacity during their working age. Their preferences are represented by the utility function,

$$U(\psi) = (1-\alpha)\ln[H(\psi)] + \alpha\ln[(I(\psi)]; \qquad \alpha \in (0,1), \tag{8}$$

where α represents that weight assigned by the individual for material rather than spiritual wealth. The parameter α could reflect the individuals's degree of *future-oriented mindset*,

[3]More generally, if ancestral cultural distance diminishes productive skills by $\alpha(\psi)$, where (a) $\alpha(1) = 1$, (b) $\alpha(0) < 1$, and (c) $\alpha(\psi)$ is non-decreasing and weakly convex in ψ in the interval $[\alpha(0), 1]$, the qualitative results would remain intact.

[4]The choice of academic disciplines, for instance, often reflects the desire for an enriching experience of knowledge accumulation rather than earning capacity.

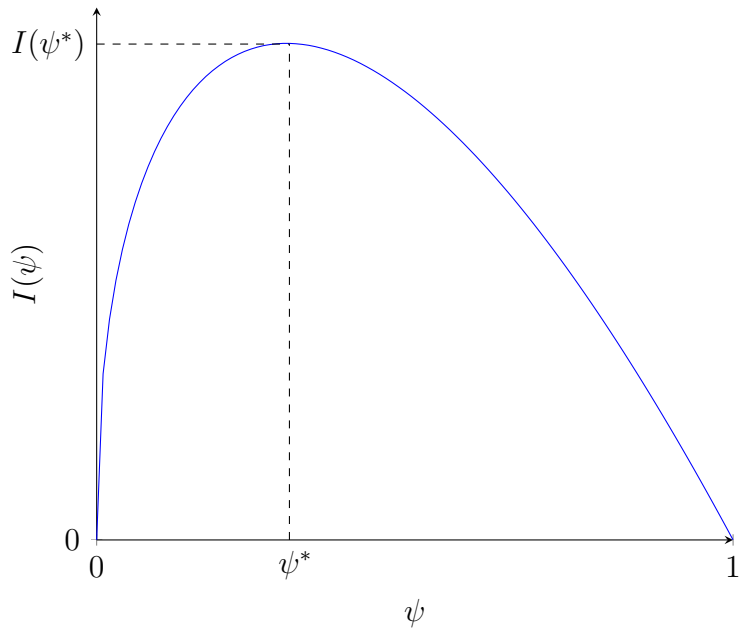

Figure 1: Individual's earning capacity as a function of ancestral cultural distance

Notes: This figure depicts the hump-shaped relationship between an individual's earning capacity and ancestral cultural distance as predicted by the conceptual framework. The figure is drawn for $\theta = 0.425$ but the existence of the hump is independent of the value of $\theta \in (0, 1)$.

as well as the extent of parental influence as reflected by the degree of *power distance* in society.

Thus, in view of the non-monotonic effect of ψ on the earning capacity of each individual, individuals whose level of diversity exceeds the income maximizing level, ψ^*, may operate strategically and based on their preference may choose to narrow their set of acquired skills. In contrast, the cost of acquiring skills for which the individual has limited talents is assumed to be prohibitively costly and individuals whose level of diversity is below ψ^*, are unable to acquire skills beyond the feasible range dictated by the degree of diversity of their mindset.

The individual's desirable range of skills to be acquired, $\hat{\psi}$, is therefore chosen such that

$$\hat{\psi} = \arg\max U(\psi) \quad \text{s.t.} \quad \psi > \psi^*, \tag{9}$$

Thus, in view of the inequality constraint, $\psi > \psi^*$, the individual's desirable range of skills to be acquired, $\hat{\psi}$, is the minimum between the individual level of diversity, ψ, and the unconstrianed optimum, $(1-\theta)/[\alpha + (1-\theta)]$. Namely,

$$\hat{\psi} = Min[\psi, (1-\theta)/(\alpha + (1-\theta))], \tag{10}$$

where as follows from (7) and (9),

$$\begin{cases} \hat{\psi} = \psi & \text{if} \quad \alpha = 0 \\ \hat{\psi}'(\alpha) < 0 & \text{if} \quad \alpha \in (0,1) \\ \hat{\psi} = \psi^* & \text{if} \quad \alpha = 1. \end{cases} \tag{11}$$

Thus, individuals whose level of diverse mindset exceeds the income maximizing level, ψ^*, and (a) place their entire weight on their income (i.e., $\alpha = 1$) choose to narrow their set of skills to the level that corresponds to ψ^*; (b) place their entire weight on knowledge formation (i.e., $\alpha = 0$) acquire the entire set of skills that correspond to their inherent diversity level, ψ; The greater is the weight given by individuals to their earning capacity, the narrower is their set of acquired skills.

The model suggests therefore that the degree of coalescence of diverse ancestral origins within an individual affects the individual's mindset and productivity. This embodied, ancestral cultural distance generates conflicting effects on individual's productivity. A diverse ancestral background is conducive for creativity and adaptability, enhancing individual's productivity. However, a wide cultural divide among individual's ancestors hinders coherence, and the ability to focus on a given tasks, reducing productivity.

The model generates two main testable predictions:

- **Proposition 1.** There exist a hump-shaped relationship between diverse mindset and productivity (i.e., an intermediate level of diverse mindset is conducive for both effective human capital and productivity).

- **Proposition 2.** Individuals who are either more future-oriented or more respectful of their parents would be able to mitigate the adverse effect of excessive diversity on productivity.

3 Data and Empirical Strategy

The proposed hypothesis implies that there exists a hump-shaped relationship between ancestral cultural distance and human capital, broadly defined, as well as between ancestral cultural distance and wage income.[5]

[5]**FIND BEST POSITION FOR THIS FOOTNOTE.** Censuses prior to 1980 are not included in the repeated cross-section analysis for three reasons. First, they do not include the critical information about ancestry. While they do include information on parental birthplace, this limits the sample to only second-generation migrants, distorting the sample consistency. In addition, these individuals are less likely to be integrated into the US labor market. Second, since a sample of second-generation migrants is significantly

Thus, our research design leverages the rich web of ancestries of the modern US population to examine empirically our proposed hypothesis. We estimate the association between ancestral cultural distance and wage income, using earned income data, self-reported dual ancestry, and demographic characteristics from the American Community Survey (ACS) 2010 and 2020 (5-year samples), as well as the Censuses for the years 1980, 1990, and 2000, yielding samples of nearly a million individuals from more than hundred ancestries.[6]

Our baseline sample consists of US-born, full-time, year-round wage workers in the labor force who are between 25 and 64 years old.[7] The qualitative results are unaffected when considering broader sample criteria: (i) individuals between 16 and 64 years old (Table B.1), (ii) individuals who are not full-time, year-round workers (Table B.2), and (iii) individuals who are unemployed (**??**).

3.1 The Measurement of ancestral cultural distance

In investigating the influence of diverse ancestral backgrounds on individual mindset and productivity, a crucial aspect lies in measuring the cultural distances between ancestral homelands. We introduce a metric that quantifies the cultural distance between the primary and secondary ancestral origins of individuals.[8] In view of the designation of ancestries as primary and secondary, we do not consider an ancestry pair as symmetric in our baseline empirical implementation.[9]

Understanding that cultural distance is multifaceted and evolves over time, our metric is grounded in one of the most enduring determinants of cultural divergence: prehistoric migratory distances. These distances represent the overland routes connecting ancestral societies, serving as proxies for the deep-seated cultural disparities that have developed

smaller, an analysis based solely on second-generation migrants would be plagued by significantly larger measurement errors. Third, the distortionary effects of unions is significantly more pronounced in the three decades prior to 1980, as unionization rates ranged from 25% to 35%.

[6]Given that the ACS and the Census are anonymous surveys, individuals have no incentive to misreport their ancestral homeland. Moreover, our pairwise empirical strategy with ancestry fixed-effects ensures that the identifying variation comes from the combination of ancestries, which further alleviates concerns of selective self-reporting since individuals would have to select into pairs. Furthermore, Table B.3 shows that the results hold even when comparing individuals with the same educational attainment and occupation, implying that selective self-reporting would have to operate conditional on the human capital of the individual, which is unlikely. Lastly, **??** shows that the results hold even when we restrict our analysis to those individuals with college or above.

[7]Given that human capital accumulation is one of our outcomes of interest, we restrict our baseline sample to those individuals who are at least 25 years old since their human capital formation is largely completed.

[8]Individuals who report a single ancestry are excluded from the baseline analysis since the absence of a secondary ancestry may either reflect a measurement error or homogeneous lineages. Reassuringly, the qualitative results are unaffected by the inclusion of these individuals as shown in **??**.

[9]As established in **??**, considering the ancestry pair as symmetric does not qualitatively affect our results.

among them over millennia. Moreover, as modern national populations typically consist of individuals with diverse ancestries, the prehistoric migratory distance between a pair of national populations is computed as the weighted average of migratory distances between each ancestral population, accounting for their proportional representation in these modern nations.[10]

Importantly, as established in **??** and **??**, in elucidating the relationship between ancestral cultural distance and wage income, prehistoric migratory distance emerges as a dominant measure compared to various alternative metrics of cultural, linguistic, and religious distances.

3.2 Empirical Strategy

The research designs an innovative empirical strategy that is: (a) resistant to reverse causality issues, (b) robust to unobserved heterogeneity due to ancestral origins, gender, and age, and (c) shielded from selection bias.

First, leveraging variations in the prehistoric migratory distance between ancestral origins to predict ancestral cultural distance implies that our empirical strategy is immune from concerns about reverse causality;[11] namely, contemporary income in the US could not affect predicted ancestral cultural distance.

Second, to mitigate concerns about omitted variables bias, the analysis account for both the primary and the secondary ancestry fixed-effects, as well as age and gender fixed-effects. Thus, we account for the potential impact of unobserved heterogeneity, at either of the two ancestral origins, on human capital formation and wage income of descendants in the US, which means that omitted variable bias is highly improbable since it could result only from an unobserved heterogeneity at the pairwise level.

Third, in light of the potential spatial correlation in shocks across ancestral homelands that led to migration into the US, our analysis could be affected by selection bias. Countries closer to each other are more likely to experience similar shocks, and if these shocks generate negative selective migration to the US in terms of productive capacity, then shorter migratory distance between ancestral origins would be correlated with lower earning capacity. However, this concern is not applicable in the case of positive selection in terms of productive capacity. Yet, even in the presence of negative selection, the impact of migratory distance,

[10] This adjustment is based on the migration matrix of Putterman and Weil (2010) that maps contemporary populations to their ancestral homeland in the year 1500.

[11] This premise is based on the understanding that long-established migratory trajectories are exogenous to an individual's current productivity levels. Furthermore, it is implausible that individuals' labor market performance would influence their reported ancestry in a manner that would systematically affect the selection of ancestral *pairs* in a way that could bias our results.

and therefore, ancestral cultural distance, on productivity would be monotonic rather than the observed hump-shaped relationship.

Another source of selection would be if cultural distance between ancestral homelands proxies higher skills and abilities for ancestors. If people have a comparative advantage marrying within their own culture, then higher migratory distance would be correlated with high ability. This concern which would generate a monotonic effect, however, is inconsistent with the observed non-linear relationship between ancestral cultural distance and individual productivity.

3.3 The Empirical Model

Following our hypothesis, we model wage income as a quadratic function of ancestral cultural distance. In particular, we estimate the following OLS model:

$$\ln w_{k,t,i,j} = \alpha + \beta_1 \psi_{ij} + \beta_2 \psi_{ij}^2 + \gamma t + \gamma_{i,j} + \gamma_{ij} + \gamma_k + \epsilon_k$$

In this equation, $\ln w_{k,t,i,j}$ is the natural log of wage income of individual k at time t, whose ancestries are i and j. The variable ψ_{ij} denotes the cultural distance between ancestries i and j. The specification includes year fixed effects (γ_t), ancestry fixed effects ($\gamma_{i,j}$), fixed effects for the ancestral continent pair (γ_{ij}), and a vector of individual-level controls (γ_k), which includes fixed effects for age, cohort, and gender.

Standard errors are clustered at both ancestry levels to account for arbitrary correlation in the error term across observations that share ancestral backgrounds.

The coefficients of interest, β_1 and β_2, capture the potential non-linear relationship between cultural distance and wage income. Consistent with our theoretical framework, we expect $\beta_1 > 0$ and $\beta_2 < 0$, implying a hump-shaped relationship between cultural dissimilarity and economic prosperity.[12]

[12] We do not include locality fixed-effects in our baseline analysis as sorting across space is heavily influenced by differential productivity of individuals, which is precisely the mechanism underlying our conceptual framework on how ancestral cultural distance affects earnings. Table B.5 shows the results hold even when restricting the identification to individuals who reside in the same locaclity.

4 Main Findings

Economic Prosperity. This section explores the association between ancestral cultural distance and wage income, using earned income data, self-reported dual ancestry, and demographic characteristics from the ACS 2010 5-year sample.[13]

Table I reports the baseline analysis, as depicted in Figure 2. The estimated effect in Column (1) indicates that there exists indeed a hump-shaped relationship between ancestral cultural distance and wage income, accounting for primary and secondary ancestry fixed-effects. Moreover, this baseline estimated effect remains highly significant statistically if we account in addition for the individual's age fixed effects (Column (2)), and age and gender fixed effects (Column (3)). The wage maximizing level of intrapersonal (i.e., the peak of the hump), measured as the distance between the individual's ancestral origins, is about 7,400 km which is roughly the migratory distance between France and India.[14]

The impact of ancestral cultural distance on wage income is sizable. In particular, Column (3), which is our preferred specification, suggests that an increase in ancestral cultural distance from the bottom of its empirical distribution to its wage maximizing level would increase wage income by nearly USD 6,000 (i.e., a 9.5% increase relative to the mean level of USD 62,365). It also implies that a decrease in ancestral cultural distance from the top of its empirical distribution to its wage maximizing level would decrease wage income by roughly USD 14,500 (i.e., a 23% decrease relative to the mean level of wage income).

These baseline findings are unaffected qualitatively by: (a) including individuals between 16 and 25 years old (Table B.1), (b) including individuals who are not full-time year-round workers (i.e., those employed fewer than 35 hours per week, and working less than 50 weeks per year) (Table B.2), (c) including individuals who report a single ancestry and can arguably be viewed as having zero ancestral cultural distance (**??**), (d) considering the ancestry pair as symmetric (**??**), (e) not accounting for either the primary and secondary ancestry fixed-effects, or both (**??**), and (f) samples that consist exclusively of male or female (**??**). Moreover, as established in **??**, the qualitative pattern relationship remains significant in each of these decades.[15]

[13] Income reported in the ACS 5-year samples for 2020 is likely to be affected by Covid-19 and is therefore not used for the baseline analysis. It is included in the exploration of the association between ancestral cultural distance and wage income in a repeated cross section over the period 1980-2020.

[14] In addition, a non-parametric test proposed by Lind and Mehlum (2010) suggests that the hump-shaped relationship between ancestral cultural distance and wage income is highly statistically significant.

[15] An increase in the rewards to diversity in a rapidly changing technological environment, as well as the decline in unionization rates from over 20% in 1980 to about 10% in 2020, could be associated with the increase in the wage maximizing level of diversity over part of this period.

Table I: Ancestral Cultural Distance and Economic Prosperity: Baseline Analysis

	Log wages		
	(1)	(2)	(3)
Cultural distance	1.68***	1.67***	1.63***
	(0.44)	(0.44)	(0.44)
Cultural distance (squared)	−4.39***	−4.38***	−4.23***
	(0.89)	(0.89)	(0.85)
Ancestry FE	✓	✓	✓
Ancestral Continent Pair FE	✓	✓	✓
Age FE		✓	✓
Sex FE			✓
Observations	3,727,398	3,727,398	3,727,398
Ancestry pairs	3403	3403	3403
R^2	0.058	0.070	0.12
Optimal cultural distance	.190	.191	.192
Statistical significance (p-value $\leq$)	.001	.001	.001
Effect size ($\psi_{min} \rightarrow \psi^*$)	17%	17%	17%
Effect size ($\psi_{max} \rightarrow \psi^*$)	83%	83%	78%

Notes: This table establishes that there exists a hump-shaped relationship between ancestral cultural distance and wage income, accounting cumulatively for primary and secondary ancestry fixed-effects (Column (1)), age fixed-effects (Column (2)), and gender fixed-effects (Column (3)). Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level.

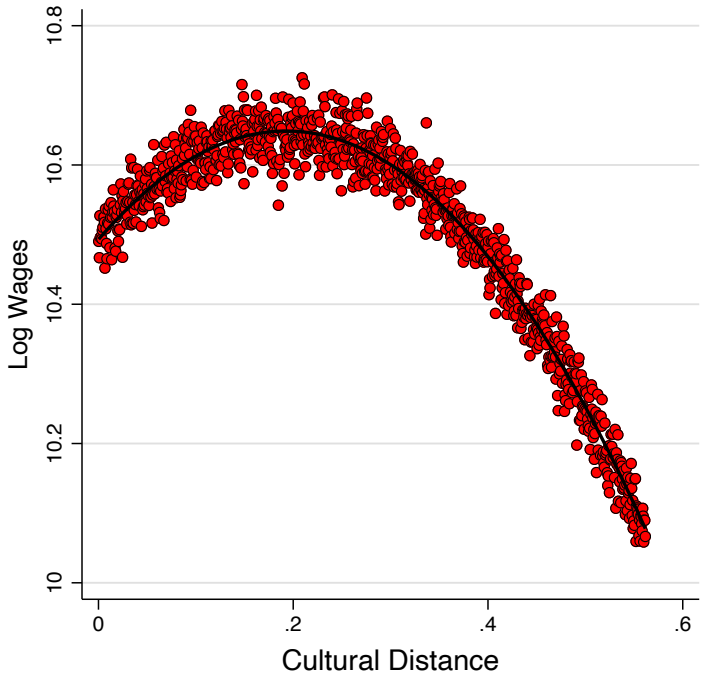

Figure 2: Ancestral Cultural Distance and Earned Income

Notes: This figure depicts the estimated hump-shaped association between ancestral cultural distance and wage income, as reported in Column (3) of Table (1).

Educational Attainment. This section explores the mechanism through which ancestral cultural distance influences wage income. As implied by our conceptual framework, the impact of ancestral cultural distance on wage income is plausibly operating via the effect of ancestral cultural distance on various dimensions of human capital.

While our data does not provide us with direct measures of skills and psychological traits across individuals, it does enable us to explore closely related mediating channels. Namely, the impact of ancestral cultural distance on: (a) educational attainment, and (b) the level of originality and flow of ideas associated with an individual's occupation.

In line with our theoretical framework, the influence of ancestral cultural distance on wage income can be understood through its impact on two aspects of human capital. Firstly, our analysis reveals a hump-shaped relationship between ancestral cultural distance and educational achievement. This reflects the positive influence of diverse parental backgrounds on the creativity of their children, as well as the negative impact of conflicting parental styles and orientations on the effectiveness of their offspring's human capital development. Secondly, we observe a similar hump-shaped relationship between ancestral cultural distance and the level of originality and idea generation within an individual's profession. This

suggests that a diverse ancestral heritage fosters creativity, but beyond a certain point, it may lead to a lack of coherence in one's ideas and work.

The diversity in parental backgrounds often gives rise to contrasting effects on their children's educational achievements. A significant cultural gap between parents tends to foster a positive impact on their offspring's creativity and the broadening of their perspectives. However, when conflicting parental styles and orientations come into play, they can result in a lack of coherence, which in turn has adverse effects on the effectiveness of their children's development of human capital. Thus one would expect a hump-shaped relationship between ancestral cultural distance and educational attainment.

Reassuringly, in line with the proposed hypothesis, as depicted in Figure 5 (based on Columns (2) of Table II), there exists a hump-shaped relationship between ancestral cultural distance and educational attainment.

Moreover, it appears that education attainment is mediating some of the effect on ancestral cultural distance on economic prosperity. Table II presents the mediating regressions. Column (1) reports the benchmark reduced-form association between ancestral cultural distance and wage income. Column (2) reports a statistically significant hump-shaped association between ancestral cultural distance and educational attainment. Furthermore, Column (3) suggests that educational attainment has indeed a positive and statistically significant association with wage income. Importantly, consistent with the view that education is indeed a mediating channel, the point estimates of the effect of ancestral cultural distance on wage income drop as compared to the reduced-form estimates. Although the wage maximizing level of intrapersonal (i.e., the peak of the hump) is roughly unaltered, the estimates suggest that an increase in ancestral cultural distance from the bottom of its empirical distribution to its wage maximizing level would increase wage income by nearly USD 3,300, which is considerably smaller than the estimated baseline effect of USD 6,000. It also implies that a decrease in ancestral cultural distance from its wage maximizing level to the top of its empirical distribution would decrease wage income by roughly USD 8,500, which is around 60% of the baseline effect of USD 14,500.

Table II: Ancestral Cultural Distance and Educational Attainment

	Educational Attainment		
	(1)	(2)	(3)
Cultural distance	2.21***	2.20***	2.21***
	(0.81)	(0.81)	(0.81)
Cultural distance (squared)	−5.82***	−5.81***	−5.82***
	(1.54)	(1.54)	(1.54)
Ancestry FE	✓	✓	✓
Ancestral Continent Pair FE	✓	✓	✓
Age FE		✓	✓
Sex FE			✓
Observations	3,727,398	3,727,398	3,727,398
Ancestry pairs	3403	3403	3403
R^2	0.060	0.061	0.061
Optimal cultural distance	.189	.189	.189
Statistical significance (p-value ≤)	.004	.004	.004

Notes: This table establishes that there exists a hump-shaped relationship between ancestral cultural distance and educational attainment. All specifications account for primary and secondary ancestry as well as age and gender fixed-effects. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level.

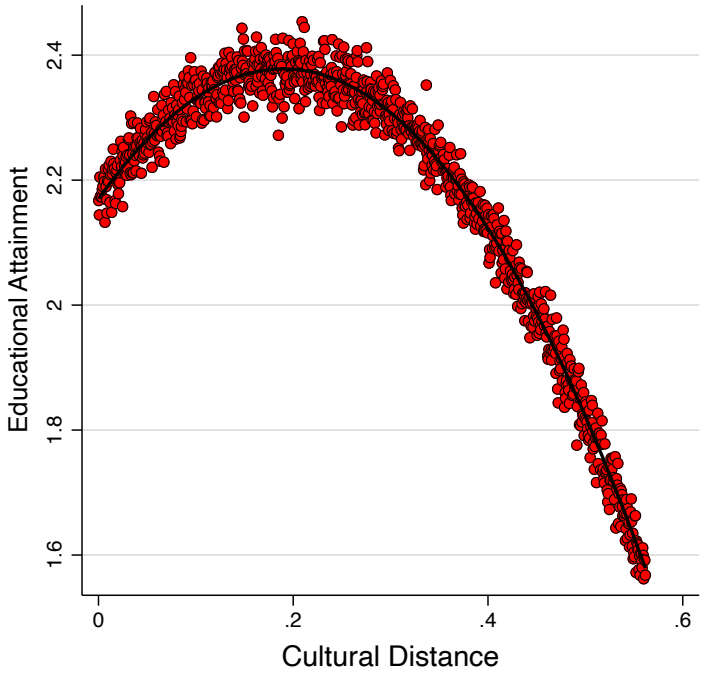

Figure 3: Ancestral Cultural Distance and Educational Attainment

Notes: This figure depicts the association between ancestral cultural distance and educational attainment of an individual.

Since the estimated association between ancestral cultural distance and wage income remains highly significant, even after accounting for educational attainment, it suggests that although diverse ancestral origins might be associated with the conflicting implications of parental styles and orientations on the offspring's schooling, the coalescence of diverse ancestral backgrounds in the formation of individuals' mindset induces the consolidation of a creative and flexible mindset which is conducive to higher productivity, and therefore earnings, beyond educational investment.[16]

Creativity. As suggested by our conceptual framework, diverse ancestral heritage fosters creativity, but beyond a certain level it may lead to incoherence. The proposed hypothesis suggest therefore a hump-shaped relationship between ancestral cultural distance and the level of originality and idea generation that characterizes the individual's profession.

Indeed, in line with the proposed hypothesis, there exists a hump-shaped relationship between ancestral cultural distance and cognitive flexibility.

[16] Table B.3 further corroborates this claim by establishing that the hump-shaped relationship holds even when including education fixed-effects, and therefore leveraging variation across individuals with the same educational attainment.

Moreover, it appears that these manifestations of human capital mediate some of the effect on ancestral cultural distance on economic prosperity. Table IV presents the mediating regressions. Column (1) reports the benchmark reduced-form association between ancestral cultural distance and wage income. Columns (2) and (4) report a statistically significant hump-shaped association between ancestral cultural distance and originality and flow of ideas. Furthermore, as expected, Columns (3) and (5) suggest that originality and flow of ideas have indeed a positive and statistically significant association with wage income.

Moreover, consistent with the view that these are only mediating channels, the point estimates of the effect of ancestral cultural distance on wage income drop as compared to the reduced-form estimates. Although the wage maximizing level of intrapersonal (i.e., the peak of the hump) is roughly unaltered, the estimates suggest that an increase in ancestral cultural distance from the bottom of its empirical distribution to its wage maximizing level would increase wage income by nearly USD 4,000, which is considerably smaller than the estimated baseline effect of USD 6,000. It also implies that a decrease in ancestral cultural distance from its wage maximizing level to the top of its empirical distribution would decrease wage income by roughly USD 11,000, which is around 75% of the baseline effect of USD 14,500.

Table III: Ancestral Cultural Distance and Creativity

	Originality		
	(1)	(2)	(3)
Cultural distance	0.12***	0.11***	0.11***
	(0.032)	(0.031)	(0.032)
Cultural distance (squared)	−0.28***	−0.28***	−0.27***
	(0.062)	(0.062)	(0.060)
Ancestry FE	✓	✓	✓
Ancestral Continent Pair FE	✓	✓	✓
Age FE		✓	✓
Sex FE			✓
Observations	1,784,760	1,784,760	1,784,760
Ancestry pairs	2928	2928	2928
R^2	0.013	0.016	0.027
Optimal cultural distance	.202	.202	.205
Statistical significance (p-value $\leq$)	.001	.001	.001

Notes: This table establishes that there exists a hump-shaped relationship between ancestral cultural distance and cognitive flexibility as captured by the level of originality and flow of ideas associated with an individual's occupation. All specifications account for primary and secondary ancestry as well as age and gender fixed-effects. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level.

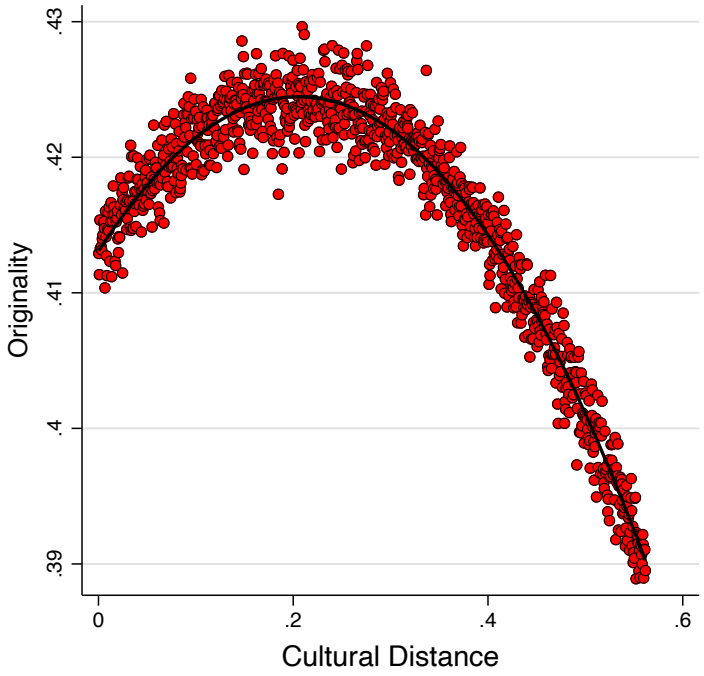

Figure 4: Ancestral Cultural Distance and Creativity

Notes: This figure depicts the association between ancestral cultural distance and cognitive flexibility as captured by the level of originality and flow of ideas associated with an individual's occupation.

Focus. As suggested by our conceptual framework, diverse ancestral heritage fosters creativity, but beyond a certain level it may lead to incoherence. The proposed hypothesis suggest therefore a hump-shaped relationship between ancestral cultural distance and the level of originality and idea generation that characterizes the individual's profession.

Indeed, in line with the proposed hypothesis, there exists a hump-shaped relationship between ancestral cultural distance and cognitive flexibility.

Moreover, it appears that these manifestations of human capital mediate some of the effect on ancestral cultural distance on economic prosperity. Table IV presents the mediating regressions. Column (1) reports the benchmark reduced-form association between ancestral cultural distance and wage income. Columns (2) and (4) report a statistically significant hump-shaped association between ancestral cultural distance and originality and flow of ideas. Furthermore, as expected, Columns (3) and (5) suggest that originality and flow of ideas have indeed a positive and statistically significant association with wage income.

Moreover, consistent with the view that these are only mediating channels, the point estimates of the effect of ancestral cultural distance on wage income drop as compared to the reduced-form estimates. Although the wage maximizing level of intrapersonal (i.e., the peak

of the hump) is roughly unaltered, the estimates suggest that an increase in ancestral cultural distance from the bottom of its empirical distribution to its wage maximizing level would increase wage income by nearly USD 4,000, which is considerably smaller than the estimated baseline effect of USD 6,000. It also implies that a decrease in ancestral cultural distance from its wage maximizing level to the top of its empirical distribution would decrease wage income by roughly USD 11,000, which is around 75% of the baseline effect of USD 14,500.

Table IV: Ancestral Cultural Distance and Lack of Focus

	Total activities in a day		
	(1)	(2)	(3)
Cultural distance	2.77***	2.70***	2.86***
	(1.02)	(1.03)	(0.94)
Ancestry FE	✓	✓	✓
Ancestral Continent Pair FE	✓	✓	✓
Age FE		✓	✓
Sex FE			✓
Observations	9,368	9,368	9,368
Ancestry pairs	589	589	589
R^2	0.079	0.098	0.12

Notes: This table establishes that there exists a hump-shaped relationship between ancestral cultural distance and cognitive flexibility as captured by the level of originality and flow of ideas associated with an individual's occupation. All specifications account for primary and secondary ancestry as well as age and gender fixed-effects. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level.

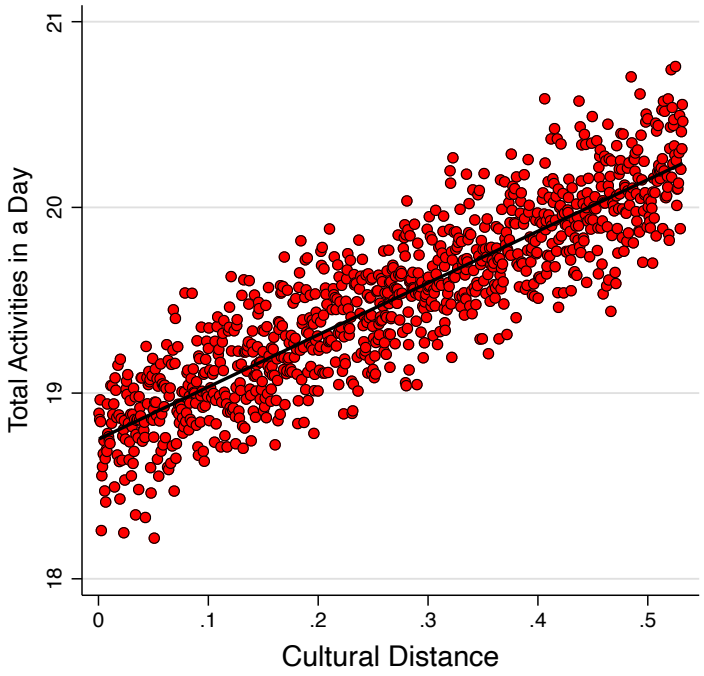

Figure 5: Ancestral Cultural Distance and Lack of Focus

Notes: This figure depicts the association between ancestral cultural distance and educational attainment of an individual.

5 Concluding Remarks

This research introduces a fresh perspective on an unexplored facet of diversity: ancestral cultural distance, shaped by the coalescence of diverse ancestral backgrounds in shaping an individual's mindset. We propose the hypothesis that an intermediate level of diverse ancestral origins strikes a delicate balance between the conflicting influences of cultural diversity, creating an individual mindset that is conducive for productivity. While limited cultural diversity among an individual's ancestors may restrict the opportunities for cross-cultural pollination and potentially reduce creativity and adaptability, an extensive cultural divide among ancestors could hinder coherence, impede human capital formation, and affect an individual's productivity.

Leveraging extensive micro-data encompassing millions of individuals born in the United States, representing more than a hundred distinct ancestral backgrounds, our research provides empirical support for our hypothesis. The evidence suggest that indeed an intermediate level of ancestral cultural distance is conducive for economic prosperity. The wage-maximizing level of ancestral cultural distance, measured as the prehistoric migratory dis-

tance between ancestral origins, is approximately 7,400 kilometers; equivalent to the distance between France and India. The impact of ancestral cultural distance on wage income is substantial, indicating that an increase in ancestral cultural distance from the lower end of its empirical distribution to its wage-maximizing level would result in a nearly USD 6,000 increase in wage income, relative to the average income level of USD 62,365. It also implies that a decrease in ancestral cultural distance from the top of its empirical distribution to its wage maximizing level would decrease wage income by roughly USD 14,500.

In alignment with our conceptual framework, ancestral cultural distance's impact on wage income can be understood through its influence on two aspects of human capital. Firstly, our analysis indicates the presence of a hump-shaped relationship between ancestral cultural distance and educational attainment. This pattern reflects the positive influence of diverse parental backgrounds on their offspring's creativity, while also highlighting the negative impact of conflicting parental styles and orientations on the effectiveness of human capital formation. Secondly, we observe a similar hump-shaped relationship between ancestral cultural distance and the level of originality and idea generation within an individual's profession. This suggests that a diverse ancestral background fosters creativity, but beyond a certain point, it may contribute to incoherence.

Furthermore, the analysis reveals that individuals who are more future-oriented or more respectful of their parents are able to mitigate the adverse effect of excessive diversity on productivity. This is consistent with our theoretical predictions about the role of preferences for knowledge accumulation and self-fulfillment in the formative years relative to earning capacity in the productive years. Our analysis also suggests the scope for complementarity in the creativity and plasticity arising from the diverse mindset of individuals, as captured by the positive interaction between an individual's ancestral cultural distance and the average ancestral cultural distance of others in the same local labor market.

The findings highlight the importance of adopting a nuanced approach in navigating the realms of human capital development and productivity enhancement. This approach acknowledges the dual nature of skill development, emphasizing the need to cultivate a diverse range of abilities while remaining mindful of the potential downsides of excessive skill acquisition. Achieving a balance between the pursuit of a broad skill set and an understanding of context-specific requirements is crucial for promoting educational outcomes tailored to the distinct characteristics of each community.

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A Data Description-American Community Survey and Census

A.1 Ancestral Homeland

- Self-reported ancestry of the US population. Individuals are asked to self-report their primary ancestry (typically a country of origin). We leverage this information to match them to modern national homelands. We follow the coding of the variable "ancestr1d" (i.e., detailed ancestry, first response) in IPUMS USA to match the self-reported ancestry to a modern national boundary, where the set of nations is based on the classification of the World Bank Development Indicators.[17] If IPUMS does not match an ancestry to a modern national boundary we establish the following assignment criteria: (i) if the ancestry is assigned unambiguously by historical sources to a unique modern national homeland, then we follow this assignment (e.g., Cornish and Manx as part of the United Kingdom), (ii) if the ancestry is a former nation that split up (e.g., Czechslovakia and Yugoslavia), we match the ancestry to the contemporary country of the historical capital, (iii) if the ancestry is an ethnic group (that is not mapped by IPUMS to a modern nation), we use the assignment provided by the Ethnographic Atlas (e.g., Kurds and Lapps), (iv) if the group is not in the Ethnographic Atlas (e.g., Cossack), then we match it to the closest capital of a contemporary country where this group is currently located, (v) individuals who report an ancestry which can not be mapped into an a unique ancestral homeland (e.g., African-Americans, Europeans, Latin-Americans, White) are excluded from the analysis. Data Source: Authors' assignment based on Ruggles et al. (2023).

A.2 Main outcome

- **Wage income**: Each individual's wage income as coded on the variable "incwage". Data Source: Ruggles et al. (2023).

A.3 Independent Variable - ancestral cultural distance

- **Migratory Distance Between a Pair of Ancestral Origins:** The great circle distance along a land-restricted path from the geodesic centroid of the primary ancestral

[17] Based on WDI, Hong Kong, Macau, and Palestine are considered nations. The only exception is Taiwan which we classified as an additional cluster following the convention (e.g., Putterman and Weil 2010).

homeland to the geodesic centroid of the secondary ancestral homeland. Data Source: Authors' computation.[18]

A.4 Fixed-Effects

- **Ancestry**: Each individual's primary and secondary ancestries. Data Source: Ruggles et al. (2023).
- **Sex**: Each individual's sex. Data Source: Ruggles et al. (2023).
- **Age**: Each individual's age. Data Source: Ruggles et al. (2023).
- **Sample**: The repeated cross-section include five different samples: Censuses of 1980, 1990, and 2000 as well as ACS 5-year samples of 2010 and 2020. Data Source: Ruggles et al. (2023).

A.5 Alternative Cultural Distances

- **Genetic distance**: The F_{st} measure of genetic relatedness between a pair of ancestral origins. Data Source: Spolaore and Wacziarg (2009).

A.6 Additional Outcomes

- **Educational attainment**: The educational attainment of individuals aggregated to 4 categories based on the IPUMS classification (i.e. high school or below, some college, college, and more than college). Data Source: Authors' computation based on Ruggles et al. (2023).
- **Originality**: The ability to come up with unusual or clever ideas about a given topic or situation, or to develop creative ways to solve a problem. Data Source: National Center for O*NET Development (2024).
- **Focus**: The total number of distinct acivities an individual performs in a day as measured in the American Time-Use Survey. Data Source: National Center for O*NET Development (2024).

[18] Since an ancestral homeland may consist of populations which are themselves from different ancestries, our measure captures the weighted average of the migratory distances from each population in the primary ancestral homeland to each population in the secondary ancestral homeland, accounting for the proportional representation of these deeper ancestral populations in the ancestral homeland, using the migration matrix of Putterman and Weil (2010). If the ancestral homeland is not in the matrix, we keep the unadjusted migratory distance only if the homeland is in the Old World given the drastical changes in the composition of populations of the New World in the post-1500 period.

B Robustness Checks and Sensitivity Analyses

B.1 Estimates by Age Group

Table B.1: Ancestral Cultural Distance & Economic Prosperity: Estimates by Age Group

	Log wages			
	25-34	35-44	45-54	55-64
	(1)	(2)	(3)	(4)
Cultural distance	1.23***	1.78***	1.82***	1.72***
	(0.36)	(0.48)	(0.49)	(0.49)
Cultural distance (squared)	−3.21***	−4.65***	−4.66***	−4.43***
	(0.68)	(0.96)	(0.96)	(1.14)
Observations	1,044,380	1,040,509	991,973	650,511
Ancestry pairs	2910	2465	2040	1548
R^2	0.093	0.080	0.099	0.11
Optimal cultural distance	.191	.191	.195	.194
Statistical significance (p-value ≤)	.001	.001	.001	.001

Notes: This table establishes that the impact of ancestral cultural distance on wage income peaks between 45 and 54 years old. This is consistent with the idea that, at this point in their lifetime, individuals have matured and sorted into the occupations where they have a comparative advantage, and are at the peak of their productivity. All specifications account for primary and secondary ancestry as well as age and gender fixed-effects. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level. ** Significant at the 5 percent level. * Significant at the 10 percent level.

B.2 Individuals Who are Not Full-Time, Year-Round Workers

Table B.2: Ancestral Cultural Distance & Economic Prosperity: Include Individuals Who are Not Full-Time, Year-Round Workers

	Log wages		
	(1)	(2)	(3)
Cultural distance	1.63***	1.63***	1.57***
	(0.44)	(0.44)	(0.42)
Cultural distance (squared)	−4.43***	−4.42***	−4.21***
	(0.92)	(0.92)	(0.86)
Ancestry FE	✓	✓	✓
Ancestral Continent Pair FE	✓	✓	✓
Age FE		✓	✓
Sex FE			✓
Observations	4,957,998	4,957,998	4,957,998
Ancestry pairs	3623	3623	3623
R^2	0.037	0.047	0.10
Optimal cultural distance	.184	.184	.186
Statistical significance (p-value ≤)	.001	.001	.001

Notes: This table establishes that the impact of ancestral cultural distance on wage income is unaffected qualitatively if we include individuals who are not full-time, year-round workers. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level. ** Significant at the 5 percent level. * Significant at the 10 percent level.

B.3 Within Educational and Occupational Categories

Table B.3: Ancestral Cultural Distance & Economic Prosperity: Within Educational and Occupational Categories

	Log wages			
	(1)	(2)	(3)	(4)
Cultural distance	1.63***	0.91***	1.04***	0.78***
	(0.44)	(0.21)	(0.25)	(0.18)
Cultural distance (squared)	−4.23***	−2.37***	−2.69***	−2.03***
	(0.85)	(0.43)	(0.49)	(0.36)
Education FE		✓		✓
Occupation FE			✓	✓
Observations	3,727,398	3,727,398	3,727,395	3,727,395
Ancestry pairs	3403	3403	3403	3403
R^2	0.12	0.32	0.34	0.41
Optimal cultural distance	.192	.193	.193	.192
Statistical significance (p-value ≤)	.001	.001	.001	.001

Notes: This table reports the impact of ancestral cultural distance on wage income, accounting for either the educational attainment or the occupation of individuals, or both. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level. ** Significant at the 5 percent level. * Significant at the 10 percent level.

B.4 Cultural Distance vs. Genetic Distance

In exploring the impact of diverse ancestral backgrounds on individual mindset and productivity, an essential consideration lies in the measurement of cultural distances between ancestral homelands. Cultural distance can be assessed through various lenses, and determining which measure of cultural distance is the most influential becomes an important aspect of this research.

One approach to measuring cultural distance is through linguistic differences (Desmet et al., 2009). Language is a fundamental carrier of culture, and variations in linguistic characteristics can signify important distinctions in the exposure of individuals to cultural production. Another avenue for gauging cultural distance is through religious differences (Spolaore and Wacziarg, 2009). Different ancestral homelands may have distinct religions, reflecting different narratives, rituals, and customary practices. These differences might influence individuals' mindset and world views. Yet another feasible metric for culture

distance is genetic distance (Spolaore and Wacziarg, 2009), reflecting time elapsed since two populations' last common ancestors and therefore their cultural distinction.

?? establishes that in explaining the association between intrapersonal diversity, as capture by cultural distance, and wage income, prehistoric migratory distance is a dominant measure of cultural distance relative to a range of alternative cultural distances. Columns (2)-(3) consider the influence of linguistic distance, Columns (4)-(5) account for religious distance, and Columns (7)-(8) consider the potential impact of genetic distance. In particular, the table suggests that intrapersonal diversity, as captured by prehistoric migratory distance, dominates the horse race with linguistic distance (Column (3)), religious distance (Column (5)), and genetic distance (Column (8)), remaining high significant through while the relationship of wage income with each of the alternative measures is insignificant.

Table B.4: Ancestral Cultural Distance & Economic Prosperity: Horse-Race with Genetic Distance

	Log wages		
	(1)	(2)	(3)
Cultural distance	1.64***		1.39***
	(0.44)		(0.45)
Cultural distance (squared)	−4.30***		−3.76***
	(0.91)		(0.87)
Genetic distance		0.39***	0.29**
		(0.11)	(0.12)
Genetic distance (squared)		−0.26***	−0.20**
		(0.091)	(0.097)
Observations	3,707,712	3,707,712	3,707,712
Ancestry pairs	3190	3190	3190
R^2	0.12	0.12	0.12
Cultural distance:			
Optimal distance	.190		.185
Statistical significance (p-value ≤)	.001		.001
Effect size ($\psi_{min} \rightarrow \psi^*$)	17%		14%
Effect size ($\psi_{max} \rightarrow \psi^*$)	81%		70%
Genetic distance:			
Optimal distance		.748	.718
Statistical significance (p-value ≤)		.005	.025
Effect size ($Fst_{min} \rightarrow Fst^*$)		16%	11%
Effect size ($Fst_{max} \rightarrow Fst^*$)		154%	110%

Notes: This table establishes that ancestral cultural distance as captured by prehistoric migratory distance is a dominant measure relative to a range of alternative measures of cultural, linguistic, and religious distances in explaining the relationship between intrapersonal diversity and wage income. All specifications account for primary and secondary ancestry as well as age and gender fixed-effects. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level. ** Significant at the 5 percent level. * Significant at the 10 percent level.

B.5 Local Analysis

This section explores whether the hump-shaped relationship between ancestral cultural distance and wage income is affected by the geographic level of analysis. To the extent that the demand and return on productive traits vary across U.S. regions, prompting individuals to distribute themselves spatially according to their productive capabilities, we expect the effect size of ancestral cultural distance on wage income to decrease as we restrict the analysis to individuals residing and working closer to each other. Table B.5 reports the results. Indeed, as expected, the estimated effects get increasingly smaller as we compare individuals in smaller geographical areas.

Table B.5: Ancestral Cultural Distance & Economic Prosperity: Local Analysis

	Log wages			
	(1)	(2)	(3)	(4)
Cultural distance	1.61***	1.36***	1.14***	0.63***
	(0.43)	(0.38)	(0.33)	(0.18)
Cultural distance (squared)	−4.23***	−3.51***	−2.80***	−1.47***
	(0.85)	(0.71)	(0.61)	(0.38)
Region FE		✓		
State FE			✓	
Micro area FE				✓
Observations	2,128,922	2,128,922	2,128,922	2,128,922
Ancestry pairs	3116	3116	3116	3116
R^2	0.12	0.13	0.15	0.23
Optimal cultural distance	.19	.192	.203	.213
Statistical significance (p-value ≤)	.001	.001	.001	.001

Notes: This table establishes that there exists a hump-shaped relationship between ancestral cultural distance and wage income even when restricting the analysis to individuals living within the same local area. The US Census regions are New England, Middle Atlantic, East North Central, West North Central, South Atlantic, East South Central, West South Central, Mountain, and Pacific. Micro areas, known as PUMAs, are the smallest geographic units identified in Public Use Microdata Samples since 1990 for both the decennial censuses and the ACS. All specifications account for primary and secondary ancestry as well as age and gender fixed-effects. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level. ** Significant at the 5 percent level. * Significant at the 10 percent level.

B.6 Estimates by Educational Attainment

Table B.6: Ancestral Cultural Distance & Economic Prosperity: Estimates by Educational Attainment

	Log Wages			
	HS Completed		College Graduates	
	(1)	(2)	(3)	(4)
Cultural distance	0.91***	0.88***	1.32***	1.27***
	(0.27)	(0.25)	(0.32)	(0.31)
Cultural distance (squared)	−2.47***	−2.37***	−3.54***	−3.33***
	(0.64)	(0.58)	(0.60)	(0.57)
Ancestry FE	✓	✓	✓	✓
Ancestral Continent Pair FE	✓	✓	✓	✓
Age FE		✓		✓
Sex FE		✓		✓
Observations	2,336,623	2,336,623	1,390,773	1,390,773
Ancestry pairs	2654	2654	3041	3041
R^2	0.053	0.13	0.093	0.16
Optimal cultural distance	.184	.185	.186	.190
Statistical significance (p-value ≤)	.001	.001	.001	.001

Notes: This table shows that the effect of ancestral cultural distance on wage income is stronger among college graduates than high school graduates. All specifications account for primary and secondary ancestry as well as age and gender fixed-effects. Two-way standard errors (clustered at the primary ancestry level and at the secondary ancestry level) are reported in parentheses. ψ^* denotes the wage maximizing level of migratory distance; ψ_{min} denotes the lowest level of migratory distance in the sample; ψ_{max} denotes the highest level of migratory distance in the sample. *** Significant at the 1 percent level.